TIDE · KITCHEN

APRIL 2026

STRATEGIC ANALYSIS

A Rising *TIDE.*

Franchising, capital structures, and urban revitalization in Chicago's South Shore.

— TIDE

T The

I Incubator *for QSR*

D Dining

E Entrepreneurs

> *Engineered to lift founders, corridors, and the community — simultaneously.*

INSIDE

Macro dynamics · The four-stage pipeline · Capital toolkit · The 8×–20× wealth multiplier · Social ROI

PREPARED FOR
STAKEHOLDERS & PARTNERS
71ST STREET CORRIDOR

02 THE SOUTH SHORE MARKET

Anatomy of a *retail leakage.*

To accurately assess the viability of TIDE Kitchen, one must first examine the socioeconomic and commercial real estate dynamics of its target geography. The South Shore neighborhood of Chicago — and specifically the 71st Street commercial corridor — sits at the intersection of acute disinvestment and unprecedented incoming capital, a paradox that defines both the opportunity and the risk.

KEY METRICS

224K+
CATCHMENT
Retail population, South Side of Chicago

$29M
ANNUAL LEAKAGE
Restaurants & eating places, exported

46%
VACANCY
Commercial vacancy across study area

The primary sub-market contains roughly 52,965 residents inside a broader retail catchment of more than 224,000. Median household income sits near $29,533, but that figure flattens a textured economic reality: the 80th percentile reaches nearly $66,800, and the top 5% of households earn over $208,000 on average. The median age is 39, indicating an established community, and it is notable that 18.6% of the population is 65 years or older. This is not a community without purchasing power —it is a community whose purchasing power has been systematically exported.

RETAIL CATEGORY	ANNUAL LEAKAGE	STRATEGIC IMPLICATION
General Merchandise	> $69.0M	*Profound demand for diverse, multi-category retail anchors and daily-necessity providers.*
Grocery & Produce	$47.0M	*Severe food-desert conditions; demand for fresh provisions and localized markets.*
Restaurants & Eating	$29.0M	*Massive unmet demand for high-quality QSR and fast-casual dining concepts.*

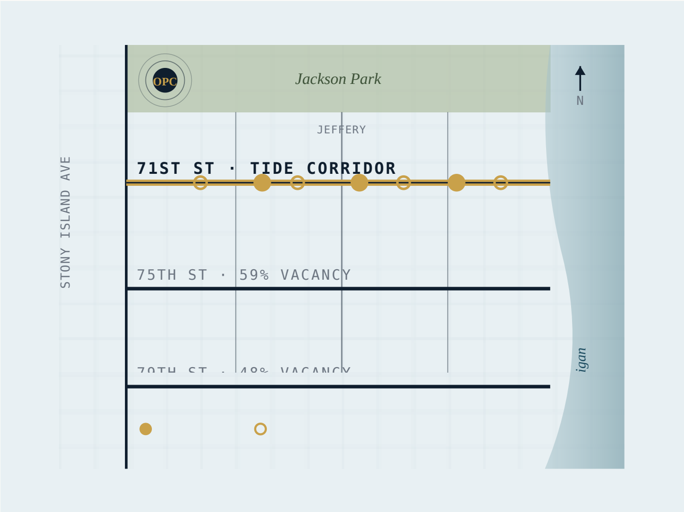
— KEY INSIGHT

The $29 million currently leaking from South Shore to non-local chains and adjacent neighborhoods is not a symptom of poverty. It is the precise market that TIDE Kitchen's incubated, locally-owned brands are engineered to recapture.

03 THE MEGA-DEVELOPMENT SUPERCYCLE

Protecting from displacement by *seizing opportunity.*

— THE CORRIDOR



South Shore east of Stony Island Avenue, just south of Jackson Park. 71st Street is the primary corridor; 75th and 79th carry the highest vacancy rates.

— PRESSURE ON THE EXISTING COMMUNITY

130%

Home price increase
Driven by speculative buying ahead of the Obama Presidential Center.

43%

Rental rate surge
Recent years across South Shore — outpacing wage growth.

255%

Property tax spike
Documented case, 71st Street commercial parcel, 2022–2025.

⅓

Investor purchases
Of all 2022 home sales went to out-of-state buyers — highest rate citywide.

Three catalysts. *Roughly $10 billion in adjacent capital.*

COMBINED INVESTMENT ~$9.95B

$850*M*

Obama Presidential Center

JACKSON PARK · ADJACENT

750K annual visitors. $220M projected annual economic impact. Restructures South Side tourism flows.

$9*B*

Illinois Quantum & Microelectronics Park

SOUTH WORKS · 440 ACRES

$700M state funding. PsiQuantum & IBM. 175,000 projected jobs. $60B long-term impact.

$100*M*

Regal Mile Studios

79TH & STONY ISLAND

380K sq ft media campus. The "Hollywood of the Midwest." Hundreds of production jobs.

04 OVERLOOKED FOUNDERS, FRESH CONCEPTS

The next category killer *isn't another burger.*

The QSR brands commanding the highest 2025 multiples — Dave's Hot Chicken, Crumbl, Dutch Bros, CAVA — share one trait: each began as a singular point-of-view that the industry's gatekeepers had no framework for. Capital chases proven categories; breakout concepts emerge from founders capital has historically declined to underwrite. TIDE Kitchen treats that gap as its primary sourcing strategy.

— WHAT GETS COOKED WHEN THE GATE OPENS?

Five concepts the standard incubator pipeline will never see. One of them is the next $2B exit.

— WHAT CONVENTIONAL CAPITAL FUNDS	— WHAT TIDE KITCHEN SOURCES
~~Another burger. Another taco.~~	A *point of view* the industry hasn't seen.
Pattern-matched concepts that resemble previous winners. Familiar to underwriters, saturated in the market, and competing on operational efficiency rather than cultural distinctiveness.	*Cuisines, formats, and rituals shaped by lived experience the gatekeepers don't share. Higher creative variance, higher breakout probability, and structurally lower competition for the white space they define.*

— THE SOURCING EDGE

Being overlooked is not just an injustice to be corrected — it is a market inefficiency. The talent pool TIDE Kitchen recruits from has been screened out by every prior gate, which means **the concepts inside it haven't been replicated, copied, or commoditized.** The Flight Simulator then provides what the founders historically lacked: institutional infrastructure to prove the concept works.

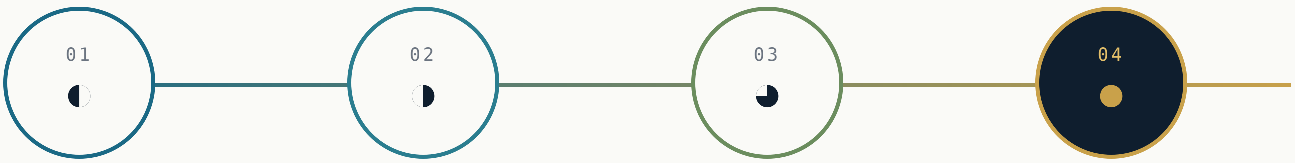
05 THE FOUR-STAGE PIPELINE

From kitchen to *category killer.*

To transition local culinary talent into institutional-grade franchise operators, TIDE Kitchen employs a four-stage pipeline. Each stage is engineered to systematically eliminate the operational, financial, and infrastructure bottlenecks that typically cause early-stage food enterprises to fail.

— STRATEGIC GOAL

Shift the founder's focus from single-unit cash flow to multi-unit brand valuation.



TIDE Pool
The Incubator

CONCEPT DEVELOPMENT

Flight Simulator facility with shared infrastructure and franchise-ready SOPs.

8–10%
SALES FEE IN LIEU OF RENT

TIDE Anchor
Corridor Integration

CAPITALIZED ANCHOR TENANTS

Pre-funded operators de-risk new ground-up and rehab projects, unlocking adjacent development.

71st
STREET COMMERCIAL CORRIDOR

TIDE Current
Multi-Unit Scale

CENTRALIZED SERVICES

Shared HR, supply chain, accounting, and marketing protect unit-level EBITDA.

3–10
UNITS UNDER SHARED OPS

TIDE Wave
Franchise Execution

NATIONAL BRAND & EXIT

FDD navigation, equity alignment, and the activation of the wealth multiplier.

Exit
LIQUIDITY EVENT FOR FOUNDERS

— WEALTH MULTIPLIER

8×–20×

Enterprise valuation expansion at exit.

A single-unit operator generating $150,000 in earnings sells for roughly **$450K–$700K** on an SDE basis. A 15-unit portfolio generating $2M in normalized EBITDA, valued at an institutional **8.0× EV/EBITDA multiple**, commands $16M — a **32× expansion** in equity value driven entirely by structural professionalization.

06 2025 EXIT COMPARABLES

What buyers will pay for an *asset-light platform.*

Institutional acquirers in 2025 are paying historic premiums for QSR and fast-casual platforms with proven unit economics and replicable systems. These four transactions establish the multiple range a TIDE Kitchen graduate can credibly target at the Wave Stage.

01 / Premium	02 / Public	03 / Strategic	04 / Emerging
Tropical Smoothie Cafe	**CAVA**	**Potbelly**	**Dave's Hot Chicken**
Acquired by Blackstone	*Public market valuation*	*Acquired by RaceTrac*	*Unit-level benchmark*
0× – 20×	0× – 20×	0× – 20×	0× – 20×
20.0×	15.0× +	8.6×	~$3M
EV / EBITDA	IMPLIED EV / EBITDA	EV / EBITDA	PER-UNIT AUV
$2.0B total consideration	**$8B+** market capitalization	**$689M** total consideration	**2-yr** franchisee payback

— TIDE IMPLICATION

The premium isn't paid for cash flow. It's paid for *de-risked replicability.*

A single-unit operator generating identical EBITDA receives roughly **2–3.5× SDE** at sale — the buyer is purchasing a job, not a platform. The 5–7× expansion in multiple between SDE and institutional EV/EBITDA is what TIDE Kitchen's Stage 3 Centralized Services and Stage 4 FDD execution are explicitly engineered to unlock. Every SOP authored in the Pool Stage is, in effect, multiple expansion deferred.

07 FINANCIAL ENGINEERING

A capital stack for *every stage.*

Traditional commercial bank lending — collateral-heavy, fully amortizing, founder-guaranteed — strangles early-stage QSR cash flow. TIDE Kitchen's Capital Toolkit sequences six distinct instruments across the four-stage pipeline, each calibrated to the operator's risk profile and growth phase.

— CAPITAL PHILOSOPHY

Match instrument to stage. Layer non-dilutive capital under institutional equity. Recycle exit proceeds back into the next cohort.

INSTRUMENT	POOL	ANCHOR	CURRENT	WAVE	FUNCTION
ROBS RETIREMENT ROLLOVER	*Debt-free founder equity*				*Initial equity injection without monthly debt service.*
Grants NON-DILUTIVE	*Municipal · NFP · Philanthropic · Venture*				*Up to $250K in reimbursement grants for build-out and hiring.*
BDC Debt CONVERTIBLE NOTE		*Interest-only · PIK-flexible · Convertible*			*Brick-and-mortar transition with founder-friendly repayment.*
Community Co-Invest SDIRA · REG CF		*Up to $5M / 12 mos · Localized ownership*			*Channels neighborhood retirement & retail capital into the corridor.*
Venture Equity DIRECT INVESTMENT			*Multi-unit expansion · Executive support*		*Funds franchise infrastructure ahead of the wealth multiplier.*
QOZ Funds TAX-ADVANTAGED			*Capital gains deferral · 90% asset rule*		*External investor demand routed into operators & real estate.*

↻ **Perpetual Capital Recycling.** A designated share of platform profits, BDC interest, and exit proceeds is systematically returned to the fund — leveling up ongoing fundraising to finance the next cohort of community-born brands and ensuring the ecosystem compounds over time rather than depleting.

07 FINANCIAL ENGINEERING · THE INSTITUTIONAL EXIT

A permanent owner *for the exit.*

The six instruments fund operators *through* the four stages. But a stabilized brand — and the corridor real estate it anchors — eventually needs a long-term owner: patient capital that acquires the de-risked asset, holds it, and frees the early capital to begin again.

That buyer is a **Collective Investment Trust (CIT)** — a bank-administered, ERISA-governed vehicle that pools retirement capital from anchor institutions and pension plans and acquires stabilized assets for the long term. It is the exit that completes the Toolkit and powers the recycling loop.

— WHY A CIT

Institutional pricing and fee efficiency. Purpose-built to hold alternatives — real estate, private credit, and equity — inside a qualified-plan framework. A natural home for the anchor institutions already mandated to invest in their own communities.

STEP 01

Stabilized Asset

A graduated Anchor property and its Wave-stage brand, de-risked by audited Incubator performance.

STEP 02

721 UPREIT Bridge

Early investors swap stabilized property for liquid REIT units — a tax-deferred hand-off, not a taxable sale.

STEP 03

Long-Term Ownership

The CIT buys and holds, striking a daily value so it can sit on a 401(k) menu. Residents co-invest alongside.

STEP 04

Recycle

Recognized gains re-deploy — including via Opportunity Zone funds — into the next cohort's corridor.

— INSTITUTIONAL

The CIT

Funded by anchor-institution and pension retirement plans, the CIT is the buy-and-hold owner of stabilized corridor assets. Because it carries the qualified-plan capital, it is the scaled buyer that lets the corridor's success transfer into long-term community retirement wealth.

— RESIDENTS

The Parallel REIT

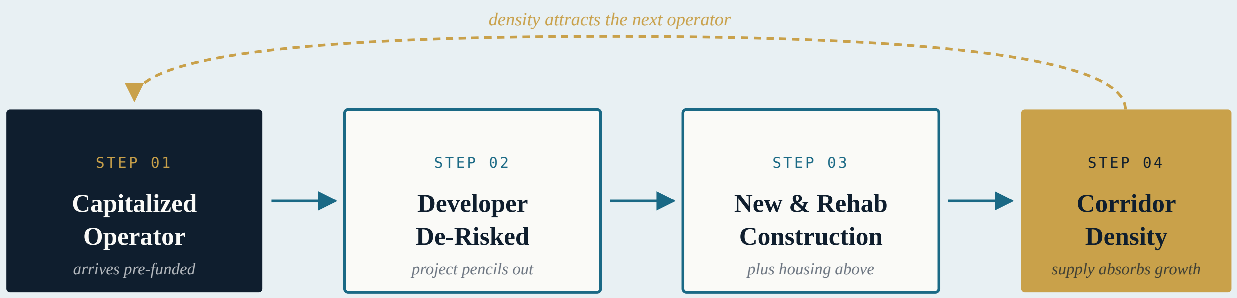
CITs are limited to qualified plans, so a companion private REIT carries the *Community Co-Invest* pathway — SDIRA and Reg CF — all the way to the institutional exit, letting South Shore residents own the same de-risked assets the pensions do.

↻ **Closing the loop.** The CIT exit converts a one-time founder liquidity event into recurring capital for the fund — the institutional engine behind *Perpetual Capital Recycling.*

08 THE TENANT THAT UNDERWRITES THE BLOCK

A capitalized anchor *unlocks the next building.*

A graduating TIDE operator does not arrive at a developer's door as a high-risk independent restaurant. They arrive pre-funded, with audited Flight Simulator unit economics and a multi-year capital runway. That single fact transforms what kind of real estate gets built around them.



Each anchor lease unlocks ~$2–4M of adjacent development that would not otherwise pencil.

Wealth, distributed. *Three audiences. Three vehicles.*

BEYOND THE FOUNDER

— FOUNDER

The Operator

Equity in the brand they built.

Captures the **8×–20× wealth multiplier** at the Wave Stage exit. The headline outcome — but not the only one.

— NEIGHBORS

The Community

Direct equity in the local brand.

South Shore residents invest through **SDIRAs and Reg CF** — sharing in the upside of the corridor's resurgence as owners, not just patrons.

— RESIDENTS

The Neighborhood

Anchored property, expanded supply.

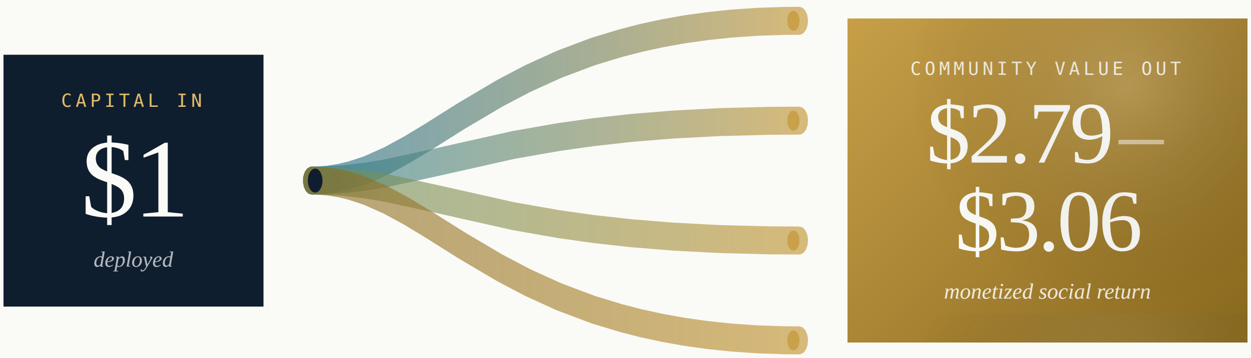
Activated storefronts and infill housing **absorb growth without displacement**, letting long-term residents stay and benefit from the appreciation around them.

09 BEYOND FINANCIAL RETURN

One dollar in. *Three dollars of economic value out.*

SROI methodology assigns standardized, research-verified dollar values to outcomes that traditional accounting cannot measure. Aggregated studies of high-functioning community development initiatives place the leverage between $2.79 and $3.06 of monetized social value per dollar invested.

SOCIAL RETURN ON INVESTMENT



CHANNEL 01

Property Tax Base

Activated storefronts increase adjacent residential and commercial valuations.

CHANNEL 02

Local Employment

QSR hiring reduces unemployment and downstream social safety net spending.

CHANNEL 03

Health & Safety

Stable employment correlates with improved physical and mental health outcomes.

CHANNEL 04

Capital Retention

Locally owned businesses circulate dollars within the neighborhood rather than exporting them.

— STRATEGIC IMPLICATION

Incubated food businesses demonstrate **more than double the long-term survival rate** of non-incubated startups. By amortizing the $500K+ commercial-kitchen build-out across multiple tenants in the Flight Simulator, TIDE Kitchen converts what would otherwise be the single largest barrier to minority entrepreneurship into shared, institutional-grade infrastructure.

10 METHODOLOGY & REFERENCES

Where the *numbers came from.*

This analysis draws on municipal planning data, restaurant industry research, capital markets reporting, and federal regulatory frameworks. Sources are organized by the argument they support; full URL citations are available in the appendix on file.

— 01

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A note on methodology. *Where research findings vary across sources, the most conservative figures have been used. SROI ranges reflect aggregated benchmarks across community-development initiatives, not a TIDE-specific projection.*

CONCLUDING ASSESSMENT

A blueprint for *equitable, exponential* urban wealth creation.

TIDE Kitchen represents a necessary paradigm shift in community economic development. It deliberately discards the paternalistic philanthropic approach of merely sustaining marginalized small businesses. In its place: a hyper-capitalist, private-equity-styled architecture engineered to forge scalable, category-dominant enterprises while ensuring existing residents share — figuratively and literally — in the wealth created.

$29*M*	8×–20×	$3.06
DINING LEAKAGE	WEALTH MULTIPLIER	SROI CEILING
Recapturable annually from South Shore alone.	*EV expansion at the Wave Stage exit.*	*Community value per dollar deployed.*

"A rising tide lifts all boats."

TIDE · KITCHEN

71ST STREET · SOUTH SHORE
CHICAGO · APRIL 2026